

THE AUDITORS' CERTIFICATES RULES, 1950

Registration of Accountants

No. 374/101, dated the 26th December 1950.—In exercise of the powers conferred by sub-section (2) of section 144 of the Companies Act, 1913 (VII of 1913), the Central Government is pleased to make the following Rules, the same having been previously published as required by the said sub-section, namely:—

1.—(1) These Rules may be called the Auditors' Certificates Rules, 1950.

(2) They extend to all the Provinces and to the Capital of the Federation.

2. In these Rules, unless there is anything repugnant in the subject or context—

- (a) "auditor's certificate" means a certificate granted under these Rules entitling the holder to act as an auditor of companies throughout the Provinces and the Capital of the Federation;
- (b) "graduate" means a graduate of a University constituted by law in Pakistan or of a University the degree of which may be declared by the Central Government to be equivalent to the degrees of the aforesaid Universities for the purposes of these Rules;
- (c) "Register" means the Register of Accountants;
- (d) "military service" means—
 - (i) service of any kind in Pakistan in a unit or formation liable for service overseas or in any operational areas;
 - (ii) service in Pakistan under military, munitions or stores authorities with a liability to serve overseas or in any operational areas;
 - (iii) all other service in Pakistan involving subjection to naval, military, or air force law;
- (e) "service as an articled clerk" means service as an articled clerk in the office of a Registered Accountant entitled or permitted under sub-rule (3) of rule 41, to train articled clerks; and
- (f) "services as an audit clerk" means service as an audit clerk in the office of a Registered Accountant entitled or permitted under sub-rule (3) of rule 41, to train articled clerks.

PART I

MAINTENANCE OF AND ENROLMENT ON THE REGISTER

3. The Central Government shall maintain a Register of Accountants who shall be entitled to apply for certificates to practise as auditors

(Under section 144.—Auditors' Certificates Rules)

of companies throughout the Provinces and the Capital of the Federation. Every such accountant shall be enrolled on the Register by an entry stating his name, qualifications, residential address and address of the business premises and the year of his enrolment:

Provided that all persons enrolled on the Register of Accountants maintained by the Central Government under the Auditors' Certificates Rules, 1932, and borne on the Register on the date of coming into force of these Rules shall be deemed to be enrolled on the Register.

4. A person shall not be eligible for enrolment on the Register if he—

- (1) has been adjudged by a competent court to be of unsound mind;
- (2) is an undischarged insolvent;
- (3) being a discharged insolvent has not obtained from the court a certificate that his insolvency was caused by misfortune without any misconduct on his part;
- (4) has been convicted by a competent court, whether within or without Pakistan, of an offence punishable with transportation or imprisonment or of an offence not of a technical nature, committed in his professional capacity unless the offence of which he was convicted has been pardoned or unless, on an application made by him, the Central Government has, by order in this behalf, removed the disability; or
- (5) having previously practised as a public accountant is considered by the Central Government, not to be a fit and proper person to be enrolled on the Register by reason of any act of negligence, misconduct or dishonesty committed in his professional capacity.

5. Subject to the provisions of rule 4 and rule 9, a person having been enrolled on the Register of Accountants maintained by the Government of India on or before the 31st March, 1948, or being eligible for such enrolment on that date, failed to obtain enrolment or failed to obtain an auditor's certificate from the Government of Pakistan after that date may, at the discretion of the Central Government, on application being made be enrolled on the Register on payment of necessary fees:

¹ Provided that a person who has after 31st March, 1948, been enrolled on the Register of Accountants maintained by the Government of India or was eligible for such enrolment after that date, may at the discretion of the Central Government, on application being made be enrolled on the Register on payment of the necessary fees if he is a citizen of Pakistan.]

6. Notwithstanding anything contained in these Rules to the contrary, the Central Government may impose such conditions, either before or after enrolment, as it may consider necessary, on such Registered Accountants as are not permanently residing in any of the territories of Pakistan.

¹ Added by Notn. No. 374, 265, dated the 21st September, 1954, see Gaz. of P., 1954, Pt. I, p. 236.

7. No person other than a person mentioned in rule 5 shall be eligible for enrolment unless he has attained the age of 21 years and—

- (a) has satisfied the tests and completed the practical training prescribed in Part II of these Rules, or
- (b) possesses qualifications recognised by the Central Government as equivalent to the tests and the practical training prescribed in Part II, or
- (c) being a person who is entitled to act as an auditor within a Province by virtue of a restricted certificate, granted by a Provincial Government, has satisfied the Central Government that he is a fit person to be enrolled.

8. For the purposes of clause (b) of rule 7 membership of any one of the following institutes and societies shall be recognised as equivalent to the tests and the practical training prescribed in Part II

- (1) The Institute of Chartered Accountants in England and Wales ;
- (2) The Society of Incorporated Accountants and Auditors, London ;
- 1[(3) The Institute of Chartered Accountants of Scotland ;] and
- 2[(4)] The Institute of Chartered Accountants in Ireland.

9.—(1) Every person enrolled on the Register shall pay an annual fee of Rs. 50 which shall be due and payable on the 1st April in each year :

Provided that a person who takes up service in the armed forces of the State and sends an intimation to that effect to the Central Government shall be entitled to exemption from the payment of fee for any year during which he has been absent on such service for at least 9 months, on the production of proof to the satisfaction of the Central Government of his having rendered such service :

Provided further that, where a Registered Accountant has paid the annual fee for any year in respect of which he is exempted under the preceding proviso, he shall on application made by him in that behalf be entitled to a refund of the fee.

(2) Every person, whose application for enrolment on the Register has been accepted shall before enrolment pay (a) an entrance fee of Rs. 200 and (b) a sum equivalent to the annual fee :

Provided that the full amount of the entrance fee and half the amount of the annual fee shall be payable before enrolment by a person enrolled on or after the 1st October and before the 1st April next following.

10.—(1) Except as otherwise provided in this rule every person wishing to be enrolled on the Register shall submit an application to the Secretary to the Government of Pakistan, in the Ministry of Commerce, in Form I (Appendix A).

(2) The applicant shall furnish such further information bearing on his application as the Central Government may at any time require from him.

¹ Subs. by No. 374/20 /52, dated the 18th February, 1953, see Gaz. of P., 1953, II-1, p. 53.

² Entry (5), re- Re-numbered, 1954.

(3) Every person wishing to be enrolled on the Register under clause (c) of rule 7 shall submit through the Provincial Government of the Province within which he is entitled to act as an auditor, an application in accordance with Form II (Appendix A).

11. If the application is accepted by the Central Government an intimation to that effect shall be sent to the applicant along with a request for payment of the prescribed fees. On receipt of the prescribed fees, the applicant's name shall be enrolled on the Register and a certificate of enrolment in Form III (Appendix A) issued to him.

12. A person enrolled on the Register shall be entitled to style himself "Registered Accountant" and to use the letters "R. A." after his name as long as his name continues to appear on the Register. A firm shall not be entitled to style itself "Registered Accountants" unless all its partners practising in Pakistan are enrolled on the Register.

13. Every person enrolled on the Register may apply to the Central Government for a certificate entitling him to act as an auditor of companies throughout the Provinces and the Capital of the Federation. The certificate shall be in Form IV (Appendix A), and shall be valid until the 30th June in the financial year next following. No fee shall be payable for a certificate. Every application for the grant of a certificate shall be addressed to the Secretary to the Government of Pakistan, Ministry of Commerce. No application shall be necessary for the renewal of a certificate, but a fresh certificate valid for the succeeding twelve months shall be sent to each accountant to whom a certificate has previously been granted and whose certificate is still valid provided that he remains enrolled on the Register and has paid the annual fee due under rule 9.

14.—(1) The Central Government may remove from the Register the name of any person—

- (a) from whom a request has been received to that effect; or
- (b) from whom the annual fee has not been received on the expiry of three months from the date on which it became due; or
- (c) who has failed to comply with the conditions imposed under rule 6;
- (d) who is found to have been subject at the time of his enrolment, or thereafter has become subject to any of the disabilities stated in clauses (1), (2), (3) and (4) of rule 4; or
- (e) whom the Central Government has declared not to be a fit and proper person to remain enrolled on the Register by reasons of any act of negligence, misconduct or dishonesty committed in his professional capacity, or of any breach of professional propriety, provided that before making such declaration the Central Government shall call upon the person concerned to show cause why his certificate should not be cancelled, and shall make such further inquiry, if any, as it may consider necessary.

Explanation.—Without prejudice to the generality of the reference to any breach of professional propriety, any act or omission specified in Appendix C shall be deemed to be such breach.

(2) The removal of the name of any person from the Register shall be notified in the Gazette of Pakistan and shall be communicated by post to the person concerned at his last known address.

15. An auditor's certificate shall be deemed to be cancelled from the date on which, and during the period for which, the name of its holder is removed from the Register.

16.—(1) The Central Government may, on receipt of an application in this behalf from a person whose name has been removed from the Register under sub-rule (1) of rule 14, restore his name to the Register, provided that he shall have paid before such restoration the annual fee for the year during which his name is restored, and if his name has been removed under clause (b) of that sub-rule all arrears on account of the annual fee.

(2) The restoration of a name to the Register shall be notified in the Gazette of Pakistan and shall be communicated by post to the person concerned.

17. The fee prescribed by these Rules shall be paid into the State Bank of Pakistan or into any Government Treasury for credit under the head "XXXVI Miscellaneous Departments—Miscellaneous—Registration of Accountants", and the bank or treasury receipt therefore shall be sent to the Secretary to the Government of Pakistan in the Ministry of Commerce.

18. The Register shall be published annually in the Gazette of Pakistan and copies of the Register shall be placed on sale.

PART II

THEORETICAL TRAINING, EXAMINATION AND PRACTICAL TRAINING

19. Except as otherwise expressly provided in these Rules, persons wishing to qualify themselves for enrolment on the Register shall be required to pass the First and Final Examinations, and to complete the practical training as prescribed in this part:

Provided that—

- (a) any period served between the 3rd September 1939 and the 30th September 1948 (both dates inclusive) under articles for any of the Institutes or Societies of Chartered Accountants in England and Wales, Scotland or Ireland or the Society of Incorporated Accountants and Auditors, London, shall be excluded from the period of the practical training prescribed under rule 39; and
- (b) the passing of the Intermediate or Final Examination of any of the aforesaid Institutes or Societies between the said dates shall be treated as equivalent to the passing of the First or Final Examination respectively held under these Rules.

20. A person who has before the 31st December 1934 passed the examination for the Government Diploma in Accountancy held by the Accountancy Diploma Board, Bombay, or an examination recognised as equivalent thereto by the rules for the award of the Government Diploma in Accountancy shall not be required to pass either the First or the Final Examination.

21. A person who—

- ¹[(a) has passed the examination for the degree of Bachelor of Commerce in a University constituted by Law in Pakistan, with accounting, auditing and mercantile or commercial law being among other subjects (whether compulsory or optional) in which he was examined in the Final Examination for that degree, or
- (aa) has passed the degree examination of a University outside Pakistan declared by the Central Government as equivalent for the purposes of these Rules to an examination for the degree of Bachelor of Commerce in a University constituted by Law in Pakistan, with accounting, auditing and mercantile or commercial law being among the subjects in which he was examined during the course for that degree, or]
- (b) has held for a period of not less than seven years prior to the date of commencement of the Final Examination a restricted certificate granted by a Provincial Government entitling him to act as an auditor within a Province, or
- (c) fulfils the conditions of the further proviso to rule 37 for the reduction of the period of articleship whether that period has been so reduced or not, ²[or]
- ³[(d) is a member of the Pakistan Institute of Industrial Accountants, Karachi,]

shall not be required to pass the First Examination:

²[Provided that clause (d) shall cease to be in force on and after the 1st January 1959.]

22. Notwithstanding anything in these Rules, the Central Government may in the case of any ⁴[citizen of Pakistan] declare that any period of articleship served or partial training received or any qualification ⁴[acquired] in India ⁵* * * shall be held to be period of articleship served or training received or qualification acquired in Pakistan for the purposes of these Rules.

FIRST EXAMINATION

23. No candidate shall be admitted to the First Examination unless he—

¹ Subs., by Notfn. No. 374/319/52, dated the 23rd September, 1954, see Gaz. of P., 1954, Pt. I, page, 244.

² Added *ibid.*

³ Ins. *ibid.*

⁴ Subs. by Notfn. No. 374/415/55-Ins., dated the 2nd May, 1956, see Gaz. of P., 1956, Pt. I, page 196.

⁵ The words and figures " before 1st April 1948 ", omitted *ibid.*

- (1) is a graduate, or
- (2) is eligible for admission under rule 25, or
- (3) has (a) either—
 - (i) entered into service under articles before the 1st January, 1946, or
 - (ii) rendered military service in connection with a war in which Pakistan is involved and passed the Matriculation Examination of a University established by law in Pakistan or an examination entitling him to enter upon the course of studies of any such University, or an examination which has been declared by the Central Government to be equivalent thereto for the purposes of these Rules, or
 - (iii) passed the Intermediate Examination of any such University or an examination recognised by the Central Government as equivalent thereto for the purposes of these Rules, or
 - (iv) passed the Matriculation Examination of any such University or an examination recognised by the Central Government as equivalent thereto for the purposes of these Rules in the First Division or has obtained not less than ¹[60]% of the total marks, and
- (b) produces either—
 - (i) a certificate in the form given in Appendix D from the head of an institution recognised for the purpose by the Central Government that he has, subsequently to passing any examination referred to in sub-clauses (ii), (iii) or (iv) of the preceding clause, studied for a period of one academic year at such an institution and is fit to present himself for the examination, or
 - (ii) a certificate that he has served for not less than seven years either wholly as an audit clerk or partly (but for not less than three years) as such clerk and partly as an articled clerk (in the latter case one complete year's service as an articled clerk being reckoned as two years' service as an audit clerk and fractions of a year being ignored), or
 - (iii) evidence to show that he was at any time admitted to the examination for the Government Diploma in Accountancy held by the Accountancy Diploma Board, Bombay or was eligible for admission to that examination:

Provided that—

- (1) a candidate who produces a certificate in the form given in Appendix D in respect of a period of study prior to 1946-47 or for 1946-47 if he has entered into service as an audit clerk before the 1st October 1945, shall be eligible for admission on passing the examination mentioned in sub-rules (3) (a) (iii) or (3) (a) (iv); and

¹ Subs. by No. 374/104/51, dated the 15th August, 1951, *see* G. O. P., 1951, Pt. I, p. 466.

Accounts; Partnerships and Company Accounts, Departmental and Branch Accounts and General Principles of Auditing.

1st GROUP II.—MERCANTILE LAW, COMPANY LAW, GENERAL COMMERCIAL KNOWLEDGE AND TAXATION—INCOME TAX. (Three papers of three hours each.)

PAPER (i)—Mercantile Law and Company Law—Law relating to Contracts, Sale of Goods, Partnership and Elements of Company Law.

PAPER (ii)—General Commercial Knowledge—Charter Parties; Bill of Lading; Fire and Marine Insurance; Bills; Cheques; Documents of Title to Goods, Stocks, Shares and other Securities; Commercial Correspondence and Elements of Secretarial Practice.

PAPER (iii).—Taxation—Income Tax; Accounts for Taxation purposes, excluding Excess Profits Tax.

The above particulars are intended as a general guide to questions which may be asked in each paper.]

FINAL EXAMINATION

26. No candidate shall be admitted to the Final Examination unless he—

- (i) has either passed the First Examination or is exempted by rule 21 from passing that examination; and
- (ii) has either completed such period of service as an articled clerk or as an audit clerk or partly as an articled clerk and partly as an audit clerk as is required under rule 37 for enrolment on the Register ²[or is serving the last twelve months of such period as articled clerk or the last twenty four months of such period as audit clerk] or is eligible for such enrolment under clause (d) of rule 37:

Provided that in the case of every candidate an interval of not less than eleven months shall have elapsed between the date of the commencement of the First Examination in which he is declared successful.

27. Every candidate for admission to the Final Examination shall pay a fee of Rs. 50.

28. Candidates for the Final Examination will be examined in the subjects comprised in the following two Groups and every candidate will be required to pass in both Groups. A candidate who passes the examination in only one Group shall be allowed two more chances to pass the other Group without being required at the same time to sit for the Group in which he has passed, provided that the chances are taken consecutively following the examination at which the candidate has failed. If he then fails to pass in the remaining Group he shall be required to pass in both Groups when he next sits for the examination. If after passing in one Group a candidate does not avail himself of the

¹ Subs. by Notfn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 389-90 and will take effect from the 4th January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

² Subs. for the words "or is serving the last twelve months of such period" by Notfn. No. 375/307/53, dated the 2nd February, 1954, see Gaz. of P., 1954, Pt. I, p. 35.

Accounts; Partnerships and Company Accounts, Departmental and Branch Accounts and General Principles of Auditing.

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The above particulars are intended as a general guide to questions which may be asked in each paper.]

FINAL EXAMINATION

26. No candidate shall be admitted to the Final Examination unless he—

- (i) has either passed the First Examination or is exempted by rule 21 from passing that examination; and
- (ii) has either completed such period of service as an articled clerk or as an audit clerk or partly as an articled clerk and partly as an audit clerk as is required under rule 37 for enrolment on the Register ²[or is serving the last twelve months of such period as articled clerk or the last twenty four months of such period as audit clerk] or is eligible for such enrolment under clause (d) of rule 37:

Provided that in the case of every candidate an interval of not less than eleven months shall have elapsed between the date of the commencement of the First Examination in which he is declared successful.

27. Every candidate for admission to the Final Examination shall pay a fee of Rs. 50.

28. Candidates for the Final Examination will be examined in the subjects comprised in the following two Groups and every candidate will be required to pass in both Groups. A candidate who passes the examination in only one Group shall be allowed two more chances to pass the other Group without being required at the same time to sit for the Group in which he has passed, provided that the chances are taken consecutively following the examination at which the candidate has failed. If he then fails to pass in the remaining Group he shall be required to pass in both Groups when he next sits for the examination. If after passing in one Group a candidate does not avail himself of the

¹ Subs. by Notfn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 389-90 and will take effect from the 4th January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

² Subs. for the words "or is serving the last twelve months of such period" by Notfn. No. 375/307/53, dated the 2nd February, 1954, see Gaz. of P., 1954, Pt. I, p. 35.

concession of appearing only for the remaining Group, he shall be required to pass in both Groups :

Provided (a) that a candidate who was eligible to appear in a particular Group in the examinations held by the Government of India in March 1947 and January 1948 but failed to avail himself of that concession may be allowed by the Central Government to appear in that Group only as if those examinations had not been held ;

(b) that if a candidate is unable to avail himself of the concession in any year through illness or some other reason beyond his control for which he shall produce satisfactory evidence before the Pakistan Council of Accountancy he may be allowed a further chance or chances at the discretion of the Council ; and

(c) that a candidate who was eligible to appear in the examination held in 1950 under the Auditors' Certificates Rules, 1932 and failed in that examination in entirety or in any particular Group thereof may appear in the examination to be held under these Rules or, as the case may be, in the particular Group thereof.

[GROUP I.—ADVANCED ACCOUNTING, TAXATION AND AUDITING.] (Four papers of three hours each.)

PAPER (i)—*Advanced Accounting*—Including knowledge of accounts in connection with flotation, reconstruction, amalgamation and liquidation of Companies ; Partnership Accounts ; Insolvency and Bankruptcy Accounts ; Income-tax.

²[PAPER (ii)—*Advanced Accounting and Cost Accounting*—Including knowledge of Accounts of Banks, Insurance Companies and Electricity Companies ; Double Account System ; Theory and Practice of Costing ; Stores Ledger ; Labour ; Wages ; Standard Costs.

PAPER (iii)—*Taxation—Income-tax*.] PAPER (iv)—*Auditing*.

GROUP II.—*MERCANTILE LAW, COMPANY LAW AND ECONOMICS*. (Three papers of three hours each.)

PAPER (i)—*Mercantile Law* including the law relating to Negotiable Instruments, Arbitration and Awards ; Insolvency ; Rights and Duties of Liquidators, Trustees and Receivers.

PAPER (ii)—*Company Law*—Including law relating to special classes of companies * * *.

PAPER (iii)—*Economics*.—Elements of Economics including Currency, Banking and Foreign Exchange.

The above particulars are intended as a general guide to questions which may be asked in each paper.

GENERAL

29. The examination shall be conducted in such manner as the Central Government may direct.

² Subs. by Notfn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 329-390 and will take effect from the 4th January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

³ Subs. by Notfn. No. 375/510/53, dated the 30th March, 1954, see Gaz. of P., 1954, Pt. I, p. 83.

⁴ The words " and Income-tax law " Om'tted by Notfn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 389-90 and will take effect from the 4th January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

30. The First and the Final Examinations will ordinarily be held once in every year at such places and time as may be notified by the Central Government in the Gazette of Pakistan.

31. Applications for admission to an examination shall be made on the prescribed form which may be obtained from the Secretary to the Government of Pakistan in the Ministry of Commerce. Every such application together with the prescribed fee shall be sent so as to reach the Central Government by such date as may be notified by the Central Government.

32. The fee paid by a candidate who has been admitted to an examination shall not in any circumstances be refunded. If such a candidate is subsequently prevented from attending the examination to which he was admitted, the Central Government may, if it is satisfied that he was prevented from attending by circumstances beyond his control, permit the fee to be transferred to the next examination.

33. A notice stating the place, dates and times at which the candidate will be required to present himself for examination shall be sent to each candidate to the address given by him in his application so as to reach him not less than fourteen days before the commencement of the examination.

34. Every candidate passing the First or Final Examination shall be furnished with a certificate to that effect.

35. A list of successful candidates shall be published in the Gazette of Pakistan in alphabetical order after each examination and shall be sent to each successful candidate. The names of candidates obtaining distinction in the examination shall be indicated in the list. Candidates shall not be supplied with the number of marks obtained by them in any paper but each successful candidate shall be informed of the paper or papers in which he has failed.

36. If a candidate is found to have resorted to unfair means during the conduct of an examination or to have attempted to influence an examiner, the Central Government may, on receipt of a report to that effect from any examiner or any person duly authorized to conduct the examination, remove the name of such candidate from the list of those entered for the examination and may direct that a candidate whose name has been so removed shall not be admitted to the next or to any subsequent examination held under these Rules.

37. A person who has passed the examinations prescribed in this Part shall not be eligible for enrolment on the Register unless he—

(a) produces a certificate in Form VII (given in Appendix B) from a Registered Accountant entitled, or permitted under sub-rule (3) of rule 41, to train articled clerks that he has served as an articled clerk with that Accountant for the period specified below:—

(i) in the case of a person who has before the 31st December 1934 passed the examination prescribed for the Government Diploma in Accountancy or an examination recog-

nised as equivalent thereto by the Regulations for the award of the Government Diploma in Accountancy—3 years;

- (ii) in the case of a person who appeared and failed at any of the examinations mentioned in sub-clause (a) (i) held in the years 1932, 1933 and 1934, and was, in consideration of this, admitted to any of the Final Examinations held in the years 1935, 1936 and 1937, and passed it, and whose apprenticeship under the Regulations for the award of the Government Diploma in Accountancy was registered with the Accountancy Diploma Board, Bombay, before the 1st April 1933, or whose articles were registered under rule 45, of the Auditors' Certificates Rules, 1932 with the Government of India in the Department of Commerce before that date—3 years;

- ¹[(iii) in the case of a person who has passed the degree examination of any of the Universities mentioned in clause (b) of rule 2 and has secured a minimum of 60 per cent. of the total marks—3 years;

- (iii) in the case of a person who has passed an examination and with the subjects as specified either in clause (a) or in clause (aa) of rule 21—3 years;

- (iii) in the case of a person who is a member of the Pakistan Institute of Industrial Accountants, Karachi—3 years;

Provided that this sub-clause shall cease to be in force on and after the 1st January 1959.]

- (iv) in the case of any other graduate—4 years;

- (v) in any other case—5 years;

or

- (b) has served as an audit clerk for the period specified below:—

- (i) in the case of a person referred to in sub-clause (i) of clause (a) or of a person who, in consideration of the circumstances mentioned in sub-clause (ii) of the said clause, was admitted to any of the Final Examinations so mentioned, and passed it—6 years;

- (ii) in the case of a person referred to in sub-clause (iii) of clause (a)—6 years;

- (iii) in the case of any other graduate—8 years;

- (iv) in any other case—9 years;

or

- (c) has served partly as an articled clerk and partly as an audit clerk, for the total period as specified in clause (b), the period of service as an audit clerk being not less than 2 years in the case of a person referred to in sub-clause (i), sub-clause (ii), ²[or sub-clause (iii)] of that clause, and not less than 3 years in any other case; or

¹ Subs. by Notfn. No. 274/319/52, dated the 23rd September, 1954, see Gaz. of P., 1954, Pt. II, p. 244.

² Subs. by Notfn. No. 374/806/52 (A), dated the 7th March, 1955, see Gaz. of P., 1955, Pt. I, p. 55.

- (d) has held for a period of not less than seven years a restricted certificate duly granted and entitling him to act as an auditor within a Province or the Capital of the Federation:

Provided that—

- (1) for the purposes of computing the total periods in clause (c) one complete year's service as an articled clerk shall be reckoned as two years' service as an audit clerk and fractions of a year shall be ignored;
- (2) for the purposes of clauses (a) and (c) any period of apprenticeship served under the Regulations for the award of the Government Diploma in Accountancy and duly registered with the Accountancy Diploma Board, Bombay, shall be reckoned as service under articles;
- (3) a person who, on completion of his apprenticeship under the Regulations for the award of the Government Diploma in Accountancy, is required under this rule to serve a further period, may serve such period under articles with the same Accountant with whom he served his apprenticeship whether the said Accountant is a Registered Accountant entitled to train articled clerks or not, provided he rejoins him within six months from the date of completion of his apprenticeship;
- (4) the periods of service under articles specified in sub-clauses (iv) and (c) of clause (a) of this rule shall be reduced by one year and two years respectively in respect of persons who before entering into articles, have rendered military service for at least two years in connection with a war in which Pakistan is involved;

[Provided further that the Central Government may, in its discretion, dispense with the period of articleship in the case of any person who has passed the examination for the Government Diploma in Accountancy before the 31st December 1934, and who fulfils any one of the following conditions:—

- (1) Has practised as an auditor, having—
 - (i) a minimum practice of ten years; and
 - (ii) at least 15 units under his audit at the time of his application for enrolment.

Explanation.—In this clause a "unit" means a company registered under the Companies Act, 1913 or a Co-operative Society registered under the Co-operative Societies Act, 1912, or under any corresponding provincial law or a private firm.

OR

- (2) Has served for a minimum period of ten years as a Chief Accountant, Accountant or Internal Auditor or in any similar other post, by whatever name designated, in a commercial firm or a bank (including a limited liability company) which has a minimum paid-up capital of Rs. 2 lakhs and/or a working capital of Rs. 6 lakhs or in any similar post which would give equivalent experience under Government or a local authority.

Explanation.—For the purpose of computing service or practice referred to in sub-clauses (1) and (2) of this proviso, every year of service as an articled clerk under sub-clause (i) of clause (a) of this rule shall be reckoned as two years of service or practice as the case may be.]

REGISTERED ACCOUNTANT ENTITLED TO TRAIN ARTICLED CLERKS

38. A list of Registered Accountants entitled to train articled clerks shall be maintained by the Central Government.

39.—(1) No person shall be eligible for inclusion in the list of Registered Accountants entitled to train articled clerks unless he has been in practice as a Registered Accountant either independently, or in partnership with a firm of Registered Accountants, in the Provinces and the Capital of the Federation, for a continuous period of not less than five years immediately before the date of inclusion of his name in the list:

Provided that a person shall be eligible for inclusion in the list of Registered Accountants entitled to train articled clerks if he has, in the opinion of the Central Government, sufficient practice as a Registered Accountant as aforesaid in the Provinces and the Capital of the Federation and if for a continuous period of not less than three years immediately before the date of the application mentioned in sub-rule (2) he—

(i) has been on the Register, and

(ii) has been either in practice as a Registered Accountant as aforesaid in the Provinces and the Capital of the Federation or employed as a paid assistant to a Registered Accountant practising as aforesaid in the Provinces and the Capital of the Federation or has been partly in such practice and partly so employed:

Provided also that the Central Government may for reasons which it deems sufficient condone any break in the continuity of the said period.

(2) Applications for inclusion in the list shall be submitted to the Secretary to the Government of Pakistan in the Ministry of Commerce and shall be accompanied by—

(i) a statement in Form X (Appendix F) in case of a person applying in accordance with sub-rule (1), and

(ii) particulars of his practice or that of his firm if applying under the first proviso to sub-rule (1).

A candidate applying under sub-rule (1) may submit his application six months before the completion of the period of practice prescribed by the said sub-rule.

(3) A Registered Accountant entitled, or permitted under sub-rule (3) of rule 41 to train articled clerks shall on ceasing to practise as a Registered Accountant in the Provinces and the Capital of the Federation inform the Secretary to the Government of Pakistan in the Ministry of Commerce of the fact within thirty days from the date on which he ceases to practise.

Note.—For the purposes of calculating the period of practice as Registered Accountant in the Provinces and the Capital of the Federation for the purpose of rule 39, the period of practice in India before 1st April 1948, shall be reckoned as the period of practice in the

Provinces and the Capital of the Federation, and the period of his remaining enrolled in India before 1st April 1948 will be counted towards the period of enrolment in the Provinces and the Capital of the Federation for the purpose of clause (i) below proviso to rule 33 (1).

40.—(1) The Central Government may remove from the list of Registered Accountants entitled to train articled clerks the name of any person—

- (a) whose name has been removed from the Register of Accountants; or
- (b) who has ceased to practise as a Registered Accountant in the Provinces and the Capital of the Federation; or
- (c) who has ceased to be a partner in the firm of Registered Accountants in which he was a partner at the time when his name was included in the list of Registered Accountants entitled to train articled clerks; or
- (d) whose name was wrongly or inadvertently included in the list; or
- (e) who in its opinion is no longer a fit and proper person to employ articled clerks, or is no longer in a position to train articled clerks; or
- (f) who has expressed a desire to that effect,

and such removal shall be notified in the Gazette of Pakistan:

Provided that before removing the name of any person under clause (b), (c), (d), or (e), the Central Government shall call upon the person concerned to show cause why his name should not be removed.

(3) The Central Government may for reasons which it deems sufficient restore to the list of Registered Accountants entitled to train articled clerks, the name of any person who has been removed under sub-rule (1).

41.—(1) (a) Except as elsewhere provided in this rule a Registered Accountant entitled to train articled clerks may employ not more than the following number of articled clerks at one time, namely:—

- (i) if his name has been included in the list of Registered Accountants entitled to train articled clerks on completion of not less than five years' practice as a Registered Accountant in the Provinces and the Capital of the Federation under sub-rule (1) of rule 39.....2;
- (ii) if his name has been included in the list under the first proviso to sub-rule (1) of rule 39.....3;

Provided that until the end of 1960, the number of articled clerks admissible under sub-clauses (i) and (ii) above, shall be 3 and 4 respectively;

Provided also that a Registered Accountant who immediately before the 31st March 1948, was employing any persons as articled clerks under the rules then in force may continue to employ them till the end of their term.

(b) A Registered Accountant entitled to train articled clerks in practice without any partner may in addition to the articled clerks hereinbefore allowed to be employed, employ one articled clerk for every paid assistant in his service in the Provinces and the Capital of the Federation and enrolled on the Register.

(c) A Registered Accountant entitled to train articled clerks in practice with one or more partners who are Registered Accountants but who are not Registered Accountants, entitled to train articled clerks may, in addition to the articled clerk hereinbefore allowed to be employed, employ one articled clerk for each of such partners in the Provinces and the Capital of the Federation and one articled clerk for each paid assistant in the service of the firm in the Provinces and the Capital of the Federation and enrolled on the Register.

(d) Where two or more Registered Accountants entitled to train articled clerks are in practice as partners with or without additional partners who are Registered Accountants but not Registered Accountants entitled to train articled clerks, one or other of the partners who are Registered Accountants entitled to train articled clerks may, in addition to the articled clerks hereinbefore allowed to be employed, employ one articled clerk only for each such additional partner in Pakistan and one for each paid assistant in the service of the firm in Pakistan and enrolled on the Register.

Provided that a Registered Accountant entitled to train articled clerks shall not be entitled to employ any additional articled clerks for a partner or a paid assistant in accordance with any of the clauses (b), (c) and (d) if such partner or paid assistant has any professional connection whatsoever with any other accountant or a firm of accountants entitled to act as auditor or auditors of companies, [except that a Fellow and Associate of the Society of Incorporated Accountants and Auditors, London, may employ two and one articled clerks respectively under the Bye-laws of the said Society in addition to the articled clerks hereinbefore allowed to be employed under the rules].

(2) A Registered Accountant entitled to train articled clerks may, on the death or retirement of a partner in his firm, accept transfer, in accordance with rule 47 of the articles of any clerk who was employed by such partner at the time of his death or retirement and may continue to employ such clerk for the remainder of his term of service under articles in addition to the number of articled clerks already in his employment at the time of his partner's death or retirement.

(3) (a) On the death or retirement of a Registered Accountant entitled to train articled clerks, belonging to a firm of Registered Accountants the other partners of which are not so entitled, any one of the remaining partners may with the permission of the Central Government, accept transfer of the articles of any clerk employed by that Registered Accountant at the time of his death or retirement, other than a clerk employed by him in accordance of clause (c) of sub-rule (1), and may continue to employ such clerk for the remainder of his term of service under articles:

* Previous notified by Notification No. 576008/53, dated the 1st August, 1953, in G.O. of P. 1953, Pt. I, p. 187.

* Subs. *Ibid.*

Provided that the said partner shall cease to employ such clerk if and when—

- (a) his name is removed from the Register of Accountants; or
- (b) he ceases to practise as a Registered Accountant in the Provinces and the Capital of the Federation; or
- (c) he ceases to be a partner in the said firm; or
- (d) he is, in the opinion of the Central Government, no longer a fit and proper person to employ article clerks, or is no longer in a position to train article clerks; and the article clerk may, thereupon, enter into fresh articles with a Registered Accountant entitled to train article clerks for the remainder of his term of service.

(b) The fresh articles referred to in the proviso to clause (a) shall be sent for registration as provided in rule 43 but shall not require the payment of any fee.

42. A Registered Accountant entitled to train article clerks shall before accepting a person for service under articles with him satisfy himself by inspection of the relevant certificates that such person—

- (a) will be not less than sixteen years of age on the date of commencement of his articles; and
- (b) has passed the Intermediate Examination or has passed the Matriculation Examination in the First Division (or with ¹[60]% of the total marks) of a University constituted by law in Pakistan or an examination recognised by the Central Government as equivalent thereto for the purposes of these Rules:

Provided that a person shall be accepted for service under articles if he—

- (1) has passed the Matriculation Examination of any such University or an examination which has been recognised by the Central Government to be equivalent thereto for the purposes of these Rules and has rendered military service in connection with a war in which Pakistan is involved; or
- (2) has passed the examination prescribed for the Government Diploma in Accountancy or an examination recognised as equivalent thereto by the Regulations for the award of the Government Diploma in Accountancy or the First Examination; or
- (3) had before the 1st October 1945, entered into service under articles with a Registered Accountant entitled to train article clerks.

43. The articles shall be executed in Form V or Form VI (Appendix B), accordingly as the candidate for article clerkship is of full age or is a minor, and shall be stamped. The articles together with the necessary documentary evidence showing that the conditions laid down in clauses (a) and (b) of rule 42 are satisfied, shall be sent to the

¹ Subs., for the figures "66" by Notn. No. 374/104-51, dated the 15th August, 1951, see Gaz. of F., 1951, Pt. I, p. 466.

Government of Pakistan in the Ministry of Commerce. Such a report shall have been signed, wherever practicable, by both the employer and the articled clerk.

¹[REGISTRATION OF AUDIT SERVICE]

49A.—(1) A Registered Accountant entitled to train articled clerks before taking a person for service as an audit clerk shall satisfy himself that such person—

- (a) is not less than 16 years of age on the date of commencement of service as an audit clerk, and
- (b) has passed the Intermediate Examination or has passed the Matriculation Examination in the First Division (or with 60% of the total marks) of a University constituted by law in Pakistan or an examination recognised by the Central Government as equivalent thereto for the purposes of these Rules;

Provided that a person shall be accepted for service as an audit clerk if he—

- (i) has passed the Matriculation Examination of any such University or an examination which has been recognised by the Central Government to be equivalent thereto for the purposes of these Rules, and has rendered military service in connection with a war in which Pakistan was involved; or
- (ii) has passed the examination prescribed for the Government Diploma in Accountancy or an examination recognised as equivalent thereto by the Regulations for the award of the Government Diploma in Accountancy or the First Examination; or
- (iii) had before the 1st October 1945 entered into service as an audit clerk with a Registered Accountant entitled to train articled clerks.

(2) A Register of audit clerks shall be maintained by the Central Government.

(3) Every employer shall send to the Central Government for registration particulars regarding the name and address of the employer, father's name, full name and address, date of birth and educational qualifications of the audit clerk serving under him (in Form VIII A) with the date of commencement of such service.

(4) No audit clerk shall, during the time of his service as an audit clerk, except with the permission of the Central Government, engage in any other business or occupation.

(5) Every employer shall, on completion, discontinuance, or termination otherwise of the service of an audit clerk in his employment forthwith send a report to that effect to the Central Government. Except in the case of a completion report such report shall be signed wherever practicable by both the employer and the audit clerk.

(6) Every audit clerk shall, before his name is entered in the Register of Audit Clerks, pay a registration fee of Rs. 5.]

¹ Ins. by Notfn. No. 375/SO5/53, dated the 15th March, 1954, see Gaz. of P., 1954, Pt. I, p. 70.

THE PAKISTAN COUNCIL OF ACCOUNTANCY

50.—(1) The Pakistan Council of Accountancy shall consist of eight members as follows:—

- (a) the Minister for Commerce, who shall be Chairman of the Council;
- (b) five members nominated by the Central Government of whom two shall be persons in the service of Government and three shall be Registered Accountants entitled to train articled clerks;
- (c) two members who shall be Registered Accountants, nominated by the Central Government from among the names recommended by [Association of Trade and Industry recognised by the Government of Pakistan in the Ministry of Commerce].

(2) Every nomination of a member of the Council shall be notified in the Gazette of Pakistan.

51. The Chairman of the Council shall have power to depute any member of the Council to act as Chairman on his behalf.

52. The Secretary to the Council shall be appointed by the Central Government and shall not be a member of the Council.

53. Save as provided in these Rules the term of office of all members of the Council other than those who are in the service of Government shall be two years from the date on which their nomination is notified in the Gazette of Pakistan.

Provided that in exceptional conditions of which it shall be the sole judge, the Central Government may by a notification in the Gazette of Pakistan, either reduce the term of office of the members of the Council or extend it for a further specified period.

54. A member, other than a member who is in the service of Government, may resign his office by letter addressed to the Secretary to the Government of Pakistan in the Ministry of Commerce.

55.—(1) Before a member, other than a member who is in the service of Government, leaves Pakistan for a period exceeding thirty days—

- (a) he shall intimate to the Secretary to the Government of Pakistan, Ministry of Commerce, the date of his departure from and the date of his expected return to Pakistan; and
- (b) if he intends to be absent from Pakistan for a period longer than six months, he shall tender his resignation or apply for leave of absence. On receipt of such application the Central Government may at its discretion grant leave of absence, if it considers necessary, treat the member's office as vacant.

(2) If any member, other than a member who is in the service of Government, leaves Pakistan for a period exceeding thirty days without taking either of the courses mentioned in sub-rule (1) he shall be deemed to have resigned his office with effect from the date of his departure from Pakistan.

56. A member, other than a member in the service of the Government, shall be deemed to have vacated his seat on the Council, if—

- (a) being a person nominated to the Council under clause (b) of sub-rule (1) of rule 50, his name is removed from the list of Registered Accountants entitled to train articled clerks; or
- (b) being a person nominated under clause (c) of the said sub-rule, his name is removed from the Register; or
- (c) he is absent from two consecutive meetings of the Council without special leave of absence from the Chairman of the Council.

57. —(1) Any casual vacancy in the Council shall be filled up in the same manner as the seat was originally filled.

(2) The term of office of a member nominated to fill a casual vacancy shall extend so long only as the member in whose place he is nominated would have been entitled to hold office if the vacancy had not occurred.

58. The Council shall meet as often as may be necessary, provided that a meeting shall be held at least once a year unless in any particular year due to war or other grave emergency the Central Government decides not to hold any such meeting. The place of meeting shall be at the headquarters of the Central Government or at such other place as the Chairman may think fit.

59. Twenty-one days at least before any meeting of the Council notice of the time and place of the intended meeting shall be sent to the usual address of every member of the Council and such notice shall, so far as practicable, contain a statement of the business to be transacted at such a meeting:

Provided that in cases of urgency an emergency meeting may be summoned at any time by the Chairman who shall inform members of the subject matter for discussion and the reasons for which he considers it to be urgent.

60. The Chairman shall preside at every meeting at which he is present and, if he is absent, the members present shall elect one of their number to preside over the meeting, unless the Chairman has already deputed a member to act as Chairman under rule 51.

61. No business shall be transacted at a meeting of the Council unless there are present at least five members.

62.—(1) Any question which the Council is required to take into consideration may, if the Chairman so decides, be referred to the members by circulation of the papers: Provided that no business shall be

disposed of by circulation unless not less than half the total number of members have expressed their views upon it.

(2) All members shall be informed of any decision made as the result of circulation.

63. The Council may appoint Committees constituted from among the members, and where necessary, other Registered Accountants to report to the Council in regard to particular matters included within the scope of its functions or to advise and assist the Central Government in regard to any such matter. Every such committee shall consist of not less than five members, of which three shall form a quorum.

64. Minutes shall be made of the proceedings of meetings of the Council and of the committees thereof and every minute signed by the Chairman of the meeting to which it relates, or by the Chairman of the next subsequent meeting, shall be submitted to the Central Government.

65. The Auditors' Certificates Rules, 1932, ¹[and the Restricted Certificates Rules, 1932] are hereby repealed.

APPENDIX A

FORM I

FORM OF APPLICATION FOR ENROLMENT ON THE REGISTER OF ACCOUNTANTS.

(See rule 10)

To

The Secretary to the Government of Pakistan,
Ministry of Commerce,
Karachi.

Sir,

I beg to offer myself for enrolment on the Register of Accountants. I also hereby declare that I am not subject to any of the disabilities stated in clauses (1), (2), (3) and (4) of rule 4 of the Auditors' Certificates Rules, 1950—

1. Name in full and usual address.
2. Father's name.
3. Nationality.
4. Date of birth.*
5. Place or places of business or service in Pakistan.
6. Date of commencement of practice or service in Pakistan.
7. If a partner or assistant, state name of firm and position therein.
8. Period of residence in Pakistan.
9. Particulars of qualifications.†

*Applications may be required to produce evidence of their age.

†Originals or duly certified copies of diplomas, certificates and other documents in support of qualifications claimed must be sent with the application.

¹Ins. by Notfn. No. 374/101/56, dated the 12th July, 1956, see Gaz. of P., 1956, Pt. I, p. 321.

10. Occupation in full.
11. Statement whether at any time debarred from practising as an auditor: If member of any of the institutions specified in rule 8, state whether at any time membership was suspended, and if so, the reasons of suspension and its duration.
12. Whether Auditors' Certificate is required after enrolment on the Register of Accountants.

Date.

I beg to remain, etc.

FORM II

FORM OF APPLICATION FOR ENROLMENT OF A RESTRICTED CERTIFICATE
HOLDER ON THE REGISTER OF ACCOUNTANTS.

(See rule 10)

To

The Secretary to the Government of Pakistan,
Ministry of Commerce,
Karachi.

Sir,

I beg to offer myself for enrolment on the Register of Accountants and forward herewith my Restricted Certificate for inspection. I also hereby declare that I am not subject to any of the disabilities stated in clauses (1), (2), (3) and (4) of rule 4 of the Auditors' Certificates Rules, 1950—

1. Name in full and usual address.
2. Father's name.
3. Nationality.
4. Date of birth.
5. Place or places of business in Pakistan.
6. Date of commencement of practice in Pakistan.
7. Period of residence in Pakistan.
8. Occupation in full.
9. State whether at any time debarred from practising as an auditor.
10. Whether Auditors' Certificate is required after enrolment on the Register of Accountants.

I beg to remain, etc.

Date.

NOTE.—Particulars relating to my audit practice are given below.

Signature of the applicant.

I. Particulars of limited concerns of which I am/my firm are, at present the auditor/auditors.

Serial No.	Name of the concern.	Date of Registration	Registered office at.	Subscribed capital.	Paid up capital.	Total Assets.

II.—Particulars of other work.

III.—Names of paid staff employed along with their qualifications and length of service.

IV.—State position in firm, also the names of other partners, if any, in the firm, and their qualifications.

FORM III

CENTRAL GOVERNMENT

MINISTRY OF COMMERCE

CERTIFICATE OF ENROLMENT ON THE REGISTER OF ACCOUNTANTS

(See rule 11)

(State Emblem)

No.

This is to certify that.....of.....in the Province of.....was enrolled on this.....day of.....19.....on the Register of Accountants maintained under the authority of the Central Government.

Dated this.....day of.....19.....

By order of the Central Government,

Seal.

Secretary to the Government of Pakistan,
Ministry of Commerce

FORM IV

AUDITORS' CERTIFICATE

(See rule 13)



This is to certify that.....of.....is entitled to be appointed and to act as an auditor of companies throughout Pakistan

This certificate is valid from the..... day of..... 19.....
to the 30th day of June 19....., inclusive.

Dated this..... day of..... 19.....

Seal.

By order, of the Central Government,

Secretary to the Government of Pakistan,
Ministry of Commerce,

APPENDIX B

FORM V

(FOR USE WHEN THE ARTICLED CLERK IS OF FULL AGE)

(See rule 43)

Articles of apprenticeship made the..... day of.....
One thousand nine hundred and..... between..... of..... a
Registered Accountant entitled to train articled clerks under the
Auditors' Certificates Rules, 1950 (hereinafter called the Employer)
of the one part and..... (hereinafter called the Articled
Clerk) of the other part.

WITNESS as follows that is to say:—

1. In consideration of the covenants by the Articled Clerk herein-
after contained and of the premium of Rs....., paid by the
Articled Clerk (the receipt whereof the Employer doth hereby acknow-
ledge) the Employer agrees to take the Articled Clerk as his articled
clerk for the term of..... years from the
day of.....

2. The Articled Clerk of his own free will binds himself articled
clerk to the employer to serve him for and during and unto the full end
and term of..... years.

3. The Articled Clerk covenants with the Employer as follows:—

- (a) That he will at all times during the said term diligently and
faithfully serve the Employer as his articled clerk in the
practice of profession of accountancy.
- (b) That he will not at any time during the said term destroy,
cancel, obliterate, spoil, embezzle, spend, make away with or
take copies of books, papers, plans, documents, monies,
stamps or chattels of the Employer his personal representa-
tives or assigns or of his partner or partners or of any of his
clients or employers which shall be deposited in his hands or
which shall come to his care, custody or possession or allow
any of the said goods to be so treated by others if he can
by the exercise of reasonable care prevent it.
- (c) That he will at all times keep the secrets of the Employer
and his partner or partners and of his and their clients and
employers and will not divulge the names and affairs of such
clients and employers.
- (d) That he will readily and cheerfully obey and execute the
lawful and reasonable commands of the Employer and will

not depart or absent himself from the service or employ of the Employer at any time during the said term without his consent or that of his partners first obtained but will at all times during the said term conduct himself with all due diligence, honesty and propriety.

- (e) That he will at all times well and faithfully serve the Employer as an articled clerk ought to do in all things whatsoever.
- (f) That he will make good and fully indemnify the Employer for any loss or damage suffered or sustained by his the Articled Clerk's misbehaviour or improper conduct.

4. The Employer covenants with the Articled Clerk as follows:—

- (a) That he will by the best ways and means in his power and to the utmost of his skill and knowledge instruct or cause to be instructed the Articled Clerk and afford him such reasonable opportunities and work as may be required to enable him to acquire the art, science and knowledge of accountancy.
- (b) That he will at the expiration of the said term use his best means and endeavours at the request, cost and charges of the Articled Clerk to cause the Articled Clerk to be enrolled on the Register of Accountants pursuant to the Auditors' Certificates Rules, 1950: Provided always that the Articled Clerk shall have well and faithfully served his intended clerkship and shall have passed the required examinations and in all respects properly qualified himself to be enrolled on the said Register.
- (c) That if the Employer shall die or cease to practise as an Accountant or cease to be borne on the list of Registered Accountants entitled to train articled clerks maintained under the Auditors' Certificates Rules, 1950, or shall in any way become incapable of continuing the intended employment of the Articled Clerk during the said term he or his personal representative shall (except where the Employer has charged no premium and is not survived by a partner) at the option of the Articled Clerk either, return a proportionate part of the premium or without any further expense to the Articled Clerk make the necessary arrangements for the completion of the residue of the term as articled clerk to some other.
- (d) That he will allow the Articled Clerk leave of absence for a period aggregating not more than one-eleventh of the service actually rendered: Provided that in case of illness he will allow the Articled Clerk, on production of a certificate from a registered medical practitioner, leave of absence for an additional period aggregating not more than one-eleventh of the service actually rendered: Provided further that in case the Articled Clerk desires to attend an institution recognised for purposes of rule 23 of the Auditors' Certificates Rules, 1950, for coaching for the Final Examination, he will allow additional leave for a period not exceeding three months.

5. These articles are subject to the Auditors' Certificates Rules, 1950, and may be cancelled under rule 46 of the said rules.

In witness whereof the parties have hereunto set their hands and seals the day and year first above written.

Signed Sealed and Delivered by
in the presence of

Signed Sealed and Delivered by
in the presence of

FORM VI

(FOR USE WHEN THE ARTICLED CLERK IS MINOR)

(See rule 43)

Articles of apprenticeship made the.....day of.....One thousand nine hundred and.....between.....of.....a Registered Accountant entitled to train articled clerks under the Auditors' Certificates Rules, 1930 (hereinafter called the Employer) of the first part.....(hereinafter called the Guardian) of the second part and.....(hereinafter called the Articled Clerk) of the third part.

WITNESS as follows that is to say:—

1. In consideration of the covenants by the Articled Clerk and Guardian respectively hereinafter contained and of the premium of Rs.....paid by or on behalf of the Articled Clerk (the receipt whereof the Employer doth hereby acknowledge) the Employer agrees to take the Articled Clerk as his articled clerk for the term of.....years from the day of

2. The Articled Clerk of his own free will and with the consent of the Guardian binds himself articled clerk to the Employer to serve him for and during and unto the full end and term of.....years.

3. The Articled Clerk covenants with the Employer as follows:—

(a) That he will at all times during the said term diligently and faithfully serve the Employer as his articled clerk in the practice or profession of accountancy.

(b) That he will not at any time during the said term destroy, cancel, obliterate, spoil, embezzle, spend, make away with or take copies of books, papers, plans, documents, monies, stamps or chattels, of the Employer his personal representatives or assigns or of his partner or partners or of any of his clients or employers which shall be deposited in his hands or which shall come to his care, custody or possession or allow any of the said goods to be so treated by others if he can by the exercise of reasonable care prevent it.

(c) That he will at all times keep the secrets of the Employer and his partner or partners and of his and their clients and employers and will not divulge the names and affairs of such clients and employers.

(d) That he will readily and cheerfully obey and execute the lawful and reasonable commands of the Employer and will not depart or absent himself from the service or employ of the

Employer at any time during the said term without his consent or that of his partners first obtained but will at all times during the said term conduct himself with all due diligence, honesty and propriety.

(c) That he will at all times well and faithfully serve the Employer as an articled clerk ought to do in all things whatsoever.

(f) That he will make good and fully indemnify the Employer for any loss or damage suffered or sustained by his the Articled Clerk's misbehaviour or improper conduct.

4. The Guardian covenants with the Employer as follows:—

That he will indemnify the Employer his partner or partners and all or any of them in case the Articled Clerk shall act contrary to the last-mentioned covenant and the Employer or his partners shall suffer thereby any loss damage or prejudice.

5. The Employer covenants with the Articled Clerk and the Guardian as follows:—

(a) That he will by the best ways and means in his power and to the utmost of his skill and knowledge instruct or cause to be instructed the Articled Clerk and afford him such reasonable opportunities and work as may be required to enable him to acquire the art, science and knowledge of accountancy.

(b) That he will at the expiration of the said term use his best means and endeavours at the request cost and charges of the Articled Clerk and the Guardian or either of them to cause the Articled Clerk to be enrolled on the Register of Accountants pursuant to the Auditors' Certificates Rules, 1950. Provided always that the Articled Clerk shall have well and faithfully served his intended clerkship and shall have passed the required examinations and in all respect properly qualified himself to be enrolled on the said Register.

(c) That if the Employer shall die or cease to practise as an Accountant or cease to be borne on the list of Registered Accountants entitled to train articled clerks maintained under the Auditors' Certificates Rules, 1950 or shall in any way become incapable of continuing the intended employment of the Articled Clerk during the said term he or his personal representative shall (except where the employer has charged no premium and is not survived by a partner) at the option of the Articled Clerk either return a proportionate part of the premium or without any further expense to the Articled Clerk make the necessary arrangements for the completion of the residue of the term as articled clerk to some other.

(d) That he will allow the Articled Clerk leave of absence for a period aggregating not more than one-eleventh of the service actually rendered: Provided that in case of illness he will allow the Articled Clerk, on production of a certificate from a registered medical practitioner, leave of absence for an additional period aggregating not more than one-eleventh of the service actually rendered: Provided further that in case the Articled Clerk desires to attend an institution recognised

for purposes of rule 23 of the Auditors' Certificates Rules, 1950, for coaching for the Final Examination, he will allow additional leave for a period not exceeding three months.

6. These articles are subject to the Auditors' Certificates Rules, 1950, and may be cancelled under rule 46 of the said Rules.

In witness whereof the parties have hereunto set their hands and seals the day and year first above written.

Signed Sealed and Delivered by
in the presence of

Signed Sealed and Delivered by
in the presence of

Signed Sealed and Delivered by
in the presence of

FORM VII

CERTIFICATE OF COMPLETION OF SERVICE UNDER ARTICLES

(See rule 37)

I, of do hereby certify that Mr. served as an articled clerk under me in accordance with the Auditors' Certificates Rules, 1950, for a period of from to that his progress was satisfactory and that to the best of my knowledge he bears a good moral character.

The Articles were duly registered with the Central Government in the Ministry of Commerce, vide Registration No. of 19

Place

Date

.....
Signature.

FORM VIII

(See rule 48)

ASSIGNMENT OF ARTICLES made the day of One thousand nine hundred and between of (hereinafter called "the Employer") of the first part of (hereinafter called "the *Guardian") of the second part son of the said (hereinafter called "the Articled Clerk"), of the third part and of carrying on the business of at (hereinafter called "the New Master") of the fourth part.

* Note. If the Articled Clerk is of age the reference to Guardian will be omitted throughout and certain consequential alterations necessitated.

WHEREAS by Articles of Apprenticeship dated.....and made between *the Employer|the original Employer of the first part the Guardian of the second part and the Articled Clerk of the third part the Articled Clerk was bound apprentice to the *the Employer|the original Employer in the practice or profession of accountancy for a term of.... years from the.....day of.....19....

AND WHEREAS by subsequent assignment all rights and liabilities of the said original Employer.....under the aforesaid articles of Apprenticeship have become vested in the Employer.

AND WHEREAS it has been agreed that the Articled Clerk shall serve the now unexpired residue of the said term with the New Master being an accountant borne on the list of Registered Accountants entitled to train articled clerk maintained under the Auditors' Certificates Rules, 1950 and the Employer has agreed with the consent of the Guardian and of the Articled Clerk to assign the said Articles of Apprenticeship to the New Master.

**AND WHEREAS the Employer has paid to the New Master Rs..... out of the premium received by the Employer under the said *Articles|Assignment.

**AND WHEREAS the Guardian|Articled Clerk has paid the New Master the sum of Rs.....by way of further premium.

NOW THIS DEED OF ASSIGNMENT WITNESSETH as follows:—

1. The Employer hereby assigns the said Article of Apprenticeship and all his interest therein and the benefit of all covenants therein contained to the New Master to hold the same for all the residue now unexpired of the said term of.....years.

2. The New Master covenants with the Employer, the Guardian and the Articled Clerk and with each of them separately.....

(a) That he will take the Articled Clerk as his articled clerk for the now unexpired residue of the said term in order that he may complete his studies and acquire the art, science and knowledge of accountancy.

(b) That he will observe and perform all the covenants in the said Articles contained and on the part of *the Employer|the original Employer to be observed and performed in like manner in all respects as if he the New Master were therein named instead of *the Employer|the original Employer indemnified from the same and from all actions, claims or demands in respect thereof.

3. The Guardian and the Articled Clerk severally covenant with the New Master—

(a) That the Articled Clerk shall diligently and faithfully serve the New Master as his apprentice in his profession of accountancy for all the residue now unexpired of the said term.

(b) That they and each of them will observe and perform all the covenants in the said articles contained and on their part to

*Words not applicable should be deleted.

**May be omitted if not required.

be performed in like manner in all respects as if the New Master were therein named instead of "the Employer the original Employer.

4. The Deed of Assignments is in accordance with the provisions of rule 48 of the Auditors' Certificates Rules, 1950 and is subject in all respects to such rules.

IN WITNESS whereof the parties have hereunto set their respective hands the day and year first above written.

Executed by in the presence of "the Employer" of the first part.

Executed by in the presence of "the Guardian" of the second part.

Executed by in the presence of "the Articled Clerk" of the third part.

Executed by in the presence of "the New Master" of the fourth part.

¹[FORM VIII A

STATEMENT OF PARTICULARS TO BE SUBMITTED FOR REGISTRATION AS AN AUDIT CLERK.

[See rule 49A]

1. Name of Clerk in full
(in Capital Letters).
2. Father's name.
3. Residential address.
4. Nationality.
5. **Date of birth.
6. Educational qualifications with the dates of passing the examinations.
7. Audit Service Registration number, if any.

I declare that the particulars given above are true and correct to the best of my knowledge and belief.

Place:

Date:

.....
Signature of the Audit Clerk.

FORM VIII B

CERTIFICATE OF COMPLETION OF SERVICE OF AUDIT CLERK

I of
do hereby certify that served as an audit clerk under

*Words not applicable should be deleted.

**Applicants are required to produce evidence of their age.

Original diplomas, certificates and/or other documents in support of the qualifications claimed must be sent with the application.

¹ Ins. by Notfn. No. 375/505/53, dated the 15th March, 1954, see Gaz. o. P., 1954, P. L. pp. 20-71.

me in accordance with the Auditors' Certificates Rules, 1950, for a period of from to
that his progress was satisfactory and that to the best of my knowledge he bears good moral character.

The audit service was duly intimated to the Central Government in the Ministry of Commerce, vide Registration No. of 19.....

Place :

Date :

.....
[Signature.]

APPENDIX C

[See Explanation to rule 14 (1)]

LIST OF ACTS AND OMISSIONS BY AN ACCOUNTANT ENROLLED ON THE REGISTER WHICH ARE DEEMED TO BE BREACHES OF PROFESSIONAL PROPRIETY.

(1) Placing of his professional service at the disposal of or entering into partnership with an unqualified person or persons in a position to obtain business of the nature in which public accountants engage by means which are not open to an accountant enrolled on the register or to a holder of a Restricted Certificate granted by a Provincial Government or State entitling him to act as an auditor within a Province or State.

(2) Allowing or agreeing to allow directly or indirectly participation by a lawyer, broker or other agent, other than a Registered Accountant or a holder of a Restricted Certificate or a bona fide employee, of the profits of his professional work or accepting or agreeing to accept any part of the profits of the professional work of a lawyer, auctioneer, broker, or other agent, other than a Registered Accountant or a holder of a Restricted Certificate or any commission or bonus therefrom.

(3) Accepting a position as auditor previously held by some other Registered Accountant or a holder of a Restricted Certificate without communicating with him.

(4) Accepting a position as auditor previously held by some other Registered Accountant or a holder of a Restricted Certificate in such conditions as to constitute undercutting.

(5) Accepting an appointment without first ascertaining from the company that the requirements of section 144(6) of the Companies Act, 1913 (VII of 1913), or if the company is registered in an accepted State the requirements of any analogous provision of law in force in that State, have been duly complied with.

(6) Soliciting professional work directly or indirectly in person, by letter, by advertising in news-papers or periodicals, by placards, by the distribution of circulars, cards or hand bills or by any other means partaking of the nature of advertisement.

NOTE.—The use of any designation or expression except "Registered Accountant" on professional documents, visiting cards or sign boards shall be construed as "advertisement" within the meaning of the above item unless it be—

(a) A title of honour conferred by Government;

- (b) A title indicating membership of a recognised Institute or Society as specified in rule 7 of the Auditors' Certificates Rules, 1950;
- (c) A degree of a University constituted by law in Pakistan, India or the United Kingdom without reference to any special merit or distinction achieved;
- (d) The letters "G. D. A." and/or the designation "Government Diplomat in Accountancy";
- (e) The word "Auditor" or "Auditors"; or
- (f) A title indicating membership of any institution as may be recognised by the Central Government.

2. Registered Accountants entitled to style themselves as "Certified Accountants" according to the Auditors' Certificates Rules, 1950 of an acceding State, who are not members of the Scottish Institute or Society of Chartered Accounts shall not use the letters "C. A." after their names without specifying the source from which the designation has been acquired.

(7) Publishing or sanctioning the publication of expressions of thanks or appreciation from clients or promoting in any way laudatory notices with regard to professional matters.

(8) Certifying any accounts, exhibits, statements, schedules or other forms of accountancy work which have not been verified entirely under the personal supervision of himself, a member of his firm, a member of his staff, another Registered Accountant or a holder of Restricted Certificate.

(9) Giving estimates of future profits for publication in a prospectus or otherwise, or certifying for publication statements of average profits over a period of two or more years without at the same time stating the profits or losses for each year separately.

(10) Failure to keep the moneys of his clients in a separate banking account or banking accounts exclusively used for the purpose.

(11) Authorizing any person in Pakistan or in an acceded State who is neither a Registered Accountant nor a holder of a Restricted Certificate to sign on his behalf any balance sheet, profit and loss account, report or statement.

APPENDIX D

CERTIFICATE TO BE SIGNED BY THE HEAD OF AN INSTITUTION RECOGNISED UNDER RULE 23 (3) (b) (i) OF THE AUDITORS' CERTIFICATES RULES, 1950.

(To be sent so as to reach the Secretary to the Government of Pakistan, Ministry of Commerce, Karachi, at least three weeks before the commencement of the Examination.)

I certify that, has attended out of lectures and out of lectures delivered for Group I and Group II, respectively, of the First Examination under the Auditors' Certificates Rules, 1950, during

I also certify that he has attended out of tutorial lectures and out of tutorial lectures

APPENDIX F

FORM X

[See rule 39 (2)]

1. Name.
2. Date of enrolment.
3. Whether practising independently or whether a member of a firm of practising Registered Accountants, and, if so, state the period for which acting as such.
4. If a member of a firm, state the position therein, that is to say—
 - (i) whether a full-fledged legal partner, and, if so, state the period for which acting as such and give the names of other partners; or
 - (ii) whether a paid partner, or a resident partner, or a manager or a representative, in receipt of salary and or a percentage of a firm's earnings; or
 - (iii) whether a paid assistant to a practising Registered Accountant in receipt of a salary, and, if so, from which date;
 - (iv) whether you have any part-time employment in addition to your practice. If so, give particulars of such employment and the time involved therein.
5. Whether employing any Registered Accountant as paid assistant.
6. Whether having any branch offices, and, if so, state the addresses.
7. The number of paid assistant and audit clerks respectively employed.

CONDITIONS RELATING TO THE RECOGNITION OF INSTITUTIONS AND LIST OF RECOGNISED INSTITUTIONS.

CONDITIONS RELATING TO THE RECOGNITION OF INSTITUTIONS FOR THE PURPOSE OF RULE 23 (b) OF THE AUDITORS' CERTIFICATES RULES, 1950.

Rule 23 of the Auditors' Certificates Rules, 1950 empowers the Central Government to recognise institutions for preparing candidates for admission to the First Examination held under those rules. The Central Government has been pleased to decide that the following conditions should be observed with immediate effect in the matter of recognition of institutions:—

- (1) Every institution so recognised shall pay a recognition fee of Rs. 25 when recognised for the first time, and an annual fee of Rs. 25. The annual fee shall be due and payable on the 1st April in each year.
- (2) Every institution applying for recognition for the first shall, along with the application, make an initial deposit of Rs. 50 which shall not be refunded in any circumstances. If the institution is accorded recognition, a sum of Rs. 25 out of this initial deposit shall be treated as recognition fee and the balance of Rs. 25 shall be credited towards the first year's annual fee payable by the institution.

(3) The Central Government may withdraw permanently or temporarily recognition accorded to an institution :—

- (a) from which the annual fee has not been received on the expiry of three months from the date on which it became due, or
- (b) which the Central Government considers, after making such enquiry as ¹[he] may deem necessary, not fit any longer to remain on the list of recognised institutions.

LIST OF INSTITUTIONS RECOGNISED FOR THE PURPOSE OF RULE OF THE AUDITORS' CERTIFICATES RULES, 1950.

21. Jinnah Institute of Accountancy, Karachi.
22. Lahore College of Accountancy, Lahore.

1. BOOKS RECOMMENDED FOR THE EXAMINATIONS.

2. DETAILED SYLLABUSES OF THE EXAMINATIONS FOR GUIDANCE OF CANDIDATES.

LIST OF BOOKS RECOMMENDED FOR THE GUIDANCE OF CANDIDATES, PREPARING FOR THE EXAMINATIONS HELD UNDER THE AUDITORS' CERTIFICATES RULES, 1950.

The syllabus of the First Examination is laid down in rule 25 and of the Final Examination in rule 28 of the Auditors' Certificates Rules, 1950. No text books have been prescribed, but the following books are recommended for the guidance of candidates :—

First Examination

GROUP I.—Accounting and Auditing

1. Book-keeping and Accounts by L. C. Cropper.
2. Elementary Book-keeping by Spicer and Pegler.
3. Principles of Auditing by F. R. de Paula. (First 8 Chapters only).
4. Rapid Calculations by A. H. Russell, or Mental Arithmetic for Schools and Training Colleges by F. L. Grant.

³[GROUP II.—Mercantile Law, Company Law, General Commercial Knowledge and Taxation—Income Tax.

1. Students' Edition of Pollock and Mulla's Indian Contract and Sale of Goods Acts by D. F. Mulla and Balwantrao K. Desai.
2. Company Law by K. J. Rustomji or the Indian Companies Act by J. S. Khargamvala, or the Indian Companies Act by Majumder and Majumder. (Up to section 154 only).
3. Modern Business Training and the Methods and Machinery of Business by J. K. Grebby and W. K. Scrivener.
4. Income Tax Manual.]

¹ Sic. should read "it"

² Recognition since withdrawn and granted to Hussain's Institute of Accountancy, Lahore, see Gaz. of P. 1956, Pt. I, p. 236.

³ Subs. by Notn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 389-90 and will take effect from the 4th January, 1956, see Gaz. of P., 1955, Pt. I, p. 236.

Final Examination

Group I.—*Advanced Accounting and Auditing*

1. Book-keeping and Accounts by Spicer and Pegler.
2. Higher Book-keeping and Accounts by L. C. Cropper.
3. Advanced Accounts by J. R. Batliboi.
4. Company Accounts by Arthur Coles.
5. Insurance Companies Accounts by A. E. Sprague.
6. Cost Accounts by L. W. Hawkins.
7. Income-tax Manual.
8. Guide to Income-tax Practice by J. R. Batliboi.
9. A Treatise on Indian Income-tax Law by R. C. Doodmal.
10. Auditing by L. R. Dicksee.
11. Auditors: Their Duties and Responsibilities by W. Pixley.
12. Audit Programmes by Spicer and Pegler.
13. Report Writing by A. E. Cutforth.
14. Stores Accounts and Stores Control by J. H. Burton.
15. W. W. Bigg.—Cost Accounts (Macdonald and Evans, London).
16. N. Sarkar.—Cost Accounting (U. N. Dhur & Sons, Ltd., Bankim Chatterjee Street, Calcutta).

Group II.—*Mercantile Law, Company Law and Economics*

1. Steven's Elements of Mercantile Law.
2. Elements of Indian Mercantile Law by S. R. Davar.
3. Negotiable Instruments Act by J. S. Khergamvala.
- ¹4. The following bare Acts:—
 - (a) The Arbitration Act, 1940 (X of 1940).
 - (b) The Insolvency (Capital of the Federation and Dacca) Act, 1909 (III of 1909).
 - (c) The Provincial Insolvency Act, 1920 (V of 1920).
 - (d) The Bills of Lading Act, 1856 (IX of 1856).
 - (e) The Electricity Act, 1910 (IX of 1910).
 - (f) The Trustees Act, 1866 (XXVII of 1866).
 - (g) The Trusts Act, 1882 (II of 1882).
 - (h) The Religious Endowments Act, 1863 (XX of 1863).
 - (i) The Charitable Endowments Act, 1890 (VI of 1890).
 - (j) The Charitable and Religious Trusts Act, 1920 (XIV of 1920).
5. Company Law by K. J. Rustonji, or the Indian Companies Act by Majumder and Majumder.

¹ Subs. by Notfn. No. 374/101/52, dated the 17th April, 1952. *see* Gaz. of P., 1952. Pt. I, pp. 13-14.

6. The following bare Acts :—

- (a) Companies Act, 1913, with rules framed thereunder.
- (b) Insurance Act, 1938 (IV of 1938).
- (c) The Societies Registration Act, 1860.
- (d) The Co-operative Societies Act, 1912.
(also Provincial Acts).

Adapted for
Punjab
1955

7. Wealth by Edwin Cannan.

8. Indian Economics by G. B. Jathar and S. G. Beri.

9. Economics by Frédéric Benham.

10. Modern Banking in India by Murarjan.

11. Modern Banking by R. S. Sayers.

SYLLABUS OF THE FIRST EXAMINATION

GROUP I.—Accounting and Auditing

Paper (i).—Book-keeping.—The theory and practice of Single and Double Entry book-keeping and accounts: Principal and Subsidiary Books of Account; the terms used in book-keeping and accounts; Negotiable Instruments Accounts Current; Self balancing Ledgers; Treatment of Bad and Doubtful Debts; Depreciation, Sinking Funds; Reserves; Goods on Sale or Return; Capital and Revenue; Trial Balance; Receipts and Payments accounts; Income and Expenditure accounts; Trading and Profit and Loss accounts; Balance Sheets; etc.

Paper (ii).—Accountancy Section.—Methods of keeping and presenting accounts; Manufacturing; Trading; Profits and Loss and Appropriation accounts; Balance Sheets; Departmental and Branch accounts (excluding foreign exchange); Consignments; Joint ventures; Goodwill; Partnership accounts; Limited Companies accounts; Statutory Books; etc.

Auditing Section.—The principles of auditing including the audits of private accounts; partnership accounts; Educational Institutions accounts; Charitable Institutions accounts; Limited Liability Companies accounts (excluding divisible profits); etc.

GROUP II.—Mercantile Law, Company Law.—General Commercial Knowledge and Taxation—Income Tax

Paper (i).—Mercantile and Company Law.—The Law relating to the Contracts, Sale of Goods, Partnership and Companies (excluding Winding-up and Banking sections).

Paper (ii).—General Commercial Knowledge.—Commercial correspondence and Elements of Secretarial Practice; Office and Counting-house routine; Commercial and Insurance terms; Stock Exchange terms and the practice in the Purchase, Sale of Shares, securities, etc., the Purchase, Sale, Storage and Conveyance of Goods (Home, Imports and Exports); the use of Bundles, Cheques, Bills of Exchange, Bill of Lading, Charter Parties; Railway Receipts; Fire and Marine Insurance.

¹ Subs. by Nuffa. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 369-70 and will take effect from 1st January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

Paper (iii).—Taxation.—Income Tax; Accounts for Taxation purposes, [excluding] Excess Profits Tax.]

SYLLABUS OF THE FINAL EXAMINATION

²[Group I.—Advanced Accounting, Taxation and Auditing]

Paper (i).—Advanced Accounting.—System of accounting as applied to Commercial enterprises, Public Utility Undertakings, Charities, Insolvency and Bankruptcy, etc., Manufacturing, Trading, Profit and Loss and Appropriation Accounts Balance-Sheets, Conversion of private business into limited companies, Formation and Amalgamation, Reconstruction and reorganisation of Limited Companies accounts, Accounts for Taxation purposes excluding Excess Profits Tax.

Paper (ii).—Advanced Accounting.—Annual and published accounts of various undertakings, i.e. Banking, Insurance, Mining, Colliery, Gas, Electricity, Water and other Public Utility concerns, Holding and Subsidiary companies accounts, Liquidation accounts, accounts of professionals, i.e. Doctors, Lawyers, Accountants, etc., accounts for claims, the principles and methods of storekeeping and cost accounts, the treatment for foreign exchange, etc.

Paper (iii).—Taxation and Cost Accounting.—

(a) Taxation.—“Accounts for Taxation purposes excluding Excess Profits Tax.”

(b) Costing.—“Objects and advantages of Costing elements of Cost. Books and Records to be maintained. Pricing of Materials. Recording and Control of Materials, Requisitions, Bin Cards and Store Ledgers. Wastage, Shrinkage, Scrap, etc. Recording of Labour. Various methods of payment of wages. Idle time, Chargeable expenses. Overhead Charges inside and outside the Factory. Basis for allocation of Overheads. Machine Hour Rate. Standard Costs. Different methods of Costing.”

Paper (iv).—Auditing.—Private accounts, Partnership accounts, Joint Stock Companies accounts, Co-operative Institutions, Holding and Subsidiary companies Insolvents, Liquidators and Receivers accounts, etc. Basis of valuation of assets and investigation of accounts, etc.

Group II.—Mercantile Law, Company Law, and Economics

Paper (i).—Mercantile Law.—Mercantile Law including the law relating to Negotiable Instruments, Arbitration and Awards, Trust, Endowments, Insolvency, etc.

Paper (ii).—Company Law.—The law relating to special classes of companies and corporate bodies, Liquidation of limited companies, etc.

3* * *

¹ Subs. by Notfn. No. 375/504/55-Ins., dated 21st May, 1956, see Gaz. of P., 1956, Pt. I, page 236.

² Subs. by Notfn. No. 339/101/55, dated the 21st September, 1955, see Gaz. of P., 1955, Pt. I, pp. 389-90 and will take effect from the 4th January, 1956, see Gaz. of P., 1956, Pt. I, p. 236.

³ The words Income-tax, Super tax etc., omitted here.

Paper (iii).—Economics.—The elementary principles of economics including their application to Pakistan and Indian conditions, the theory and practice of banking in Pakistan and India, the theory of currency including a knowledge of the principles on which monetary systems are based, elements of foreign exchange. The paper will be in two parts carrying equal marks, viz.—

Part (i) —General theory of Economics and principles of Banking, Currency and Foreign Exchange; and

Part (ii)—Economics with special reference to Pakistan and India.

SCHEDULE.—[SCHEDULE SHOWING THE NAMES OF CHAMBERS OF COMMERCE, ENTITLED TO SEND NAMES OR NOMINATIONS TO THE PAKISTAN COUNCIL, OF ACCOUNTANCY.] Omitted by the Ministry of Commerce Notification No. 375/201/51, dated the 17th July, 1953, see Gazette of Pakistan, 1953, Pt. I, page 170.

1. PROVINCIAL GOVERNMENT BOOK DEPOTS :—

Manager, Government Printing and Stationery Department, Northern Area,
West Pakistan, Peshawar.
Manager, West Pakistan Government Book Depot and Record Office, Karachi,
Superintendent, Government Printing and Stationery, West Pakistan,
Lahore.

2. Registrar, Supreme Court of Pakistan, Lahore. (For Supreme Court Reports only).

2. EAST PAKISTAN :—

Deputy Controller, Stationery, Forms and Publications, 9, Jinnah Avenue,
Beauty House, P. O. Ramna, Dacca.

4. PRIVATE BOOK-SELLERS :—

Karachi :—

Messrs. Aero Stores, 170, Napier Road.
Messrs. Burhani Paper Mart, Campbell Street, P. O. Box No. 26.
Messrs. Dacca Book Stall, World News Agents, Victoria Road, Saddar.
Messrs. Ferozsons, Bunder Road.
Messrs. Firdous Stationers, Opp. New Memon Mosque, Bunder Road, 83,
Liaquat Market.
Messrs. G. A. Stationery Mart, 21, New Memon Masjid, Bunder Road.
Messrs. Habib Stationery Emporium, 1-2, Liaquat Market, Opp. New Memon
Masjid, Bunder Road.
Messrs. The Karachi Chamber of Commerce and Industry, Wood Street, P. O.
Box No. 4833.
Messrs. Mansoor Stationery Mart, Hassan Ali Effendi Road.
Messrs. Nomani Stationers, Kothari Building, Opp. Central Bank of India
Ltd., Napier Road.
Messrs. Pakistan Law House, Pakistan Chowk, Katchery Road.
Messrs. Pioneer Paper & Stationery House, 1, Avan Lodge, Opp. Dow
Medical College, Bunder Road.
Messrs. Rashid-ur-Rahman & Co., 16, P. M. A. Building, Nicol Road.
Messrs. Taher Book Depot, Tram Junction, Saddar.
Messrs. Windsor Book Stall, Elphinstone Street.

EAST PAKISTAN :—

Dacca :—

Messrs. Burhani Paper Mart, 11, Bangla Bazar.
Messrs. Book Syndicate, 157, Govt. New Market.
Messrs. Dacca Chamber of Commerce and Industry, 107, Kaliprashanna
Ghosh Street.
Messrs. Dacca Law Report, Shanti Nagar, Ramna.
Messrs. Farooq's Publications, 146, Nawabpur Road.
Messrs. Mohiuddin & Sons, 143, New Market, Azimpur.
Messrs. Rehman Publishing Co., 8, Jinnah Avenue, Ramna.

Chittagong :—

Messrs. Chittagong Chamber of Commerce, Quaid-e-Azam Road.
Messrs. Muslim Chamber of Commerce.
Messrs. News Front, News Agents & Book-Sellers, 73, Jubilee Road.

Khulna :—

Messrs. Abdul Qadir & Brothers, Old Jessore Road.

Sahab Bazar :—

Messrs. Friends Stores, P. O. Ghoremara, Distt. Rajshahi.

Chuadanga :—

Messrs. Nays Jamana Library, P. O. Chuadanga, Distt. Kushtia.

WEST PAKISTAN :—

Lahore :—

Messrs. All Pakistan Legal Decisions, 35, Nabha Road.

Messrs. Mansoor Book House, 2, Katchery Road.

Messrs. Mirza Book Agency, 9-A, Shah Alam Market.

Messrs. Nawa-i-Waqt Publications Ltd.

Messrs. Premier Book House, 4/5, Katchery Road, Near Anarkali.

Messrs. Technical & Commercial Book Co., Chowk Daigaran.

Messrs. The Publishers United Ltd., 176, Anarkali.

Messrs. The Punjab Religious Book Society, Anarkali.

Rawalpindi :—

Messrs. The London Book Company.

Messrs. The New Book Depot, Saddar Bazar.

Messrs. Victory Book Stores, Edwardes Road.

Hyderabad :—

Messrs. Educational Book Depot, Stationers and Book-Sellers, School Road.

Messrs. The New Allies Stores, Jail Road. Near Tower.

Multan City :—

Messrs. The Multan Chamber of Commerce.

Quetta :—

Messrs. Aligarh Book Stall, Mission Road.

Lyaipur :—

Messrs. Danishmand & Co., Karkhana Bazar.

Messrs. International Agency, Gujar Basti.

Sialkot City :—

Messrs. Mallik & Sons, Commercial Building, Railway Road.

Sukkur :—

Messrs. The Ajaib Stores, Frere Road.

Messrs. N. M. Qureshi & Co., Post Box No. 33, Shahi Dazar.

Larkana :—

Messrs. Mujahid Stationery Mart & Book-Sellers, Bunder Road.

II.—FOREIGN

All Pakistan Missions Abroad.